PRIME MINISTER`S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

ARUSHA REGIONAL

FORM THREE TERMINAL EXAMINATION-MAY 2026

COMMERCE

MARKING GUIDE;

1.10 marks @1

QN	i.	ii.	iii.	iv.	v.	vi.	vii.	viii.	ix.	x.
ANS	D	E	D	B	C	E	E	B	D	D

2.@ ✓ 1Marks TOTAL 6 Marks.

COLUMN-A	**I**	**II**	**III**	**IV**	**V**	**VI**
COLUMN-B	E	A	F	G	C	D

SECTION B

3.(a)**characteristics of successful entrepreneurs**

i. Hard working: This is the use of extra effort to achieve a certain goal. An entrepreneur is always ready to do any job in the business and to commit any amount of time to succeed in his or her venture. Therefore, they achieve their targets on time

ii. Having product knowledge: This is an ability to know the multi-uses of a certain product. An entrepreneur has to understand multiple uses of a product so as to allocate resources effectively during the production

iii. Creativity: This is an ability to produce new and unique ideas. An entrepreneur has to be able to come up with new ideas in making a unique product so as to win other entrepreneurs' product in the competitive market.

iv. Optimistic: This refers to being positive minded, maintaining high expectation even in hard and challenging situation. An entrepreneur holds high expectations about their business.

(b)**Invention:** Refer to the establishment of something new such as new product or new ways of doing business activities. Introduction of Telephones by Alexander Graham bell in 1876 is an example of invention in the communication sector. While **Innovation:** This involves making changes in something which is in existence. Car powered by natural gas is an example of innovation. (9marks@1.8mark)

4. (a)Services provided by housewife cannot be termed as production due to following reasons

i. The service cannot be exchanged with money

ii. Her efforts cannot be paid as labour

(b)**Features of Land**

i. It is a basic factor of production because all production activities take place on land

ii. It is fixed in supply, meaning that human beings cannot create more land

iii. It can be used for alternative uses such as fishing, mining, farming and transportation

iv. Different pieces of land have different fertility and productivity levels

9marks@1.5mark

5. (a)**Ways through which the internet has revolutionized communication**

(i) It has allowed the extensive communication through electronic mail

(ii) It has enabled establishment of remote offices where one does not need to go to his work station but can work from home

(iii)It has led to electronic buying and selling of products where traders and customers do not need to meet face to face i.e. e-commerce

(b)**Electronic means of communication**

i) E-mail: The e-mail messages are distributed instantly by electronic means from one user to another via network

ii) Blogging: This is a type of online journaling which can be updated daily or many times a day

iii) Social networking: it involves websites and application that enables users to create and share content **9marks@1.5mark**

6.Factors that determine the effectiveness of transport

i. **Cost of transport;** the type of transport chosen should be relatively cheap compared to the value of goods carried. For cost, road transport is suitable for small cargo and for bulky goods railway or water transport can be used.

ii. **Nature of goods;** when goods are perishable, a fast means of transport in required. In addition, fragile goods like glasses need to be handled with care. Therefore, when transporting perishable and fragile goods, air transport is the best.

iii. **Weight of goods;** bulky or heavy goods are suitable to be transported by railway or water transport, and small cargo air transport is the best for long distance and road transport for short distance with in the country.

iv. **The distance;** if it is short distance road transport is the best and for long distances railway is suitable but for very long distances, air and sea transport are advisable assuming all the systems are equally available.

v. **Value of goods;** Valuable goods like gold, diamond, mercury among others need to be transported by a system of transport which is secure and fast to reduce the risks of loss. Where aped and security is required, air transport is the best.

vi. **Speed and urgency;** when goods are required urgently like newspapers, medicine among others, a fastest means of transport may be suitable such as air transport.

vii. **Flexibility of the system;** the system chosen should be flexible, especially where switching from one route to another is concerned. Road transport is the most flexible system.

viii. **Terminals;** one should also consider the availability of terminals for loading and offloading. Terminals like ports, air ports and railway stations should also be considered

ix. **Availability of system;** one may choose a particular form of transport, simply because it is the one available than others. **(9 marks @1.8 any five well explained)**

7. Qualities of good money

(i) Durability

(ii) Portability

(iii) Divisibility

(iv) Recognizability

(v) scarcity

(vi) stability

(vii) difficult to forge (**Any 6 @ 1.5 total 9marks with explanation**)

8.Firms are able to increase sales volumes and market share by promoting sales in the following ways.

- ✓ Improvement on the quality of the product.
- ✓ Reduction in the prices of the product to make it more affordable.
- ✓ Carrying out product diversification so as to have a variety of products on the market.
- ✓ Carrying out intensive and extensive advertising
- ✓ Offering discounts to customers.
- ✓ Selling products on credit to credit worthy customers.
- ✓ Offering after sales services.

(any 6 @ 1.5)= 9 marks

SECTION C (30 marks)

Any two questions

9.Qualification of the successful retailers

i) Experience skills: A retailer should be knowledgeable about business

ii) Honest: A retailer should charge fair prices to customers regardless of their outlook

iii) Pleasantness: A retailer should not be rude to the customer. He should use a polite language when he deals with customers

iv) A good buyer: A retailer should know what to buy, when to buy and what price to buy

v) Good administrator: A retailer should be able to control the movement of his stock and other business properties

vi) Co-operator: A retailer should cooperate with his suppliers and pay them promptly to ensure an efficient flow of business activity

Introduction:2marks

Mainbody:12marks@2marks

Conclusion:1mark

10. Roles of business communication

- Promotes efficiency
- Motivate staff
- Improve coordination
- Helps to establish good reputation **(Introduction= 1.5 marks)**
- Enable permanent record to be made **(Main body= 6points 2marks@=12)**
- Facilitate expansion of the market **(Conclusion= 1.5marks)**

11. Benefits of electronic banking

- Accessing current account balances at any time
- Transfer fund from one account to another,
- Online bills payments
- Simplify loan application procedures
- Easy access to current interest rate

Introduction:2marks

Mainbody:10marks@2marks

Conclusion:2marks
